QUIZ

HOW SMART ARE YOU?

How much do you know about the basics of personal finance? Find out if you are as smart as you think you are

BEGINNER

Q1. Generally, there is no relationship between risk and return when investing

a) FALSE
b) TRUE

Q2. You can make your investments grow faster by reinvesting any interest or dividends earned



a) TRUE
b) FALSE

Q3. The fees you pay when investing can impact your investment returns

a) TRUE
b) FALSE

Q4. If you are a first-time investor and unsure of where to start, simply invest in the same products as your friends or family

a) TRUE
b) FALSE



Q5. Holding shares of only one company is less risky than holding many shares from different industries or countries

a) TRUE
b) FALSE

Q6. You cannot start investing with a small sum because investing requires a lot of money

a) TRUE
b) FALSE

INTERMEDIATE

Q1. You can tell how an exchange-traded fund (ETF) will perform by looking at its past performance



a) TRUE
b) FALSE

Q2. If you buy a company's bond... you lend money to the company

a) FALSE
b) TRUE

Q3. An emergency fund can help pay for your next SIP investment

a) FALSE
b) TRUE



Q4. SEBI has the power to regulate all listed companies and investment advisors.

a) FALSE
b) TRUE

Q5. If you buy a company's stock... You own a part of the company

a) FALSE
b) TRUE

Q6. Over the past 10 years, returns from FDs have out-performed stocks

a) FALSE
b) TRUE

EXPERT

Q1. If you own 100 shares of a company and it announces a 2-for-1 stock split, you will have 50 shares after the split

a) FALSE b) TRUE

Q2. Generally, the investment that appears to offer the biggest potential return guarantees it

a) FALSE b) TRUE



Q3. G-Secs are the safest guaranteed return instruments

a) FALSE b) TRUE

Q4. Capital loss from sale of shares can be carried forward for 7 assessment years immediately following the assessment year in which the loss was first computed

a) FALSE b) TRUE

Q5. Day trading is a long-term investment strategy

a) FALSE b) TRUE

Q6. A margin call acts as a safeguard to protect both you and your broker from potential losses

a) FALSE b) TRUE

Flip page to see answers

BEGINNER
1. a) False | 2. a) True | 3. a) True | 4. b) False | 5. b) False | 6. b) False

INTERMEDIATE
1. b) False | 2. b) True | 3. a) False | 4. b) True | 5. b) True | 6. a) False

EXPERT
1. a) False | 2. a) False | 3. b) True | 4. a) False | 5. a) False | 6. b) True